

Signal Dispatch

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Classification: Open Source Intelligence **Topic:** Iran-Venezuela axis collapse, US dual-pressure strategy, China-Taiwan calculus, and the AI competition nobody's watching **Analyst confidence:** Medium-High

Executive Summary

Three converging data sources reshaped my assessment of US coercive power, Chinese strategic limits, and the infrastructure that outlives its creators. Between January 3 and February 28, 2026, the United States dismantled two decades of Iranian-Venezuelan bilateral infrastructure in sixty days. Maduro's capture severed the political anchor. US-Israeli strikes on Iran destroyed the operational one. The 299 bilateral agreements, the oil-swap logistics, the drone pipeline, the USDT settlement networks – all functionally dead. Iran's financial exposure: \$4.7-7.8 billion at risk, compounding losses from Syria and Lebanon. The alliance network that took two decades to build didn't survive two months of kinetic pressure.

Three findings reshaped how I assess US coercive power, Chinese strategic limits, and the infrastructure that outlives its creators:

First, sanctions are not the strategy – they're the scaffolding. December 2025 saw 29 shadow fleet designations and 10 Iran-Venezuela weapons-trade entities sanctioned. Four days later, US forces captured Maduro. The sanctions weren't

coercion. They were legal preparation. This distinction matters: judging sanctions by their 13% coercive success rate misses their actual function as kinetic enablers.

Second, digital infrastructure dies faster than oil terminals. Iran's internet control apparatus – built by Huawei and ZTE over years – collapsed within hours of the February 28 strikes. OONI measurements dropped from 1,400/hr to a floor of 100/hr. Confirmed censorship events went to zero and have not recovered six days later. The “digital lock-in” thesis assumed peacetime. Under kinetic force, it's vapor. What survives isn't hardware – it's the financial scar tissue: crypto channels, shadow fleets, and human expertise. But the scar tissue depends on Russia, not Iran-Venezuela. Russia's volume use of these networks is why they persist. The bilateral axis was a minor tributary. Russia is the river.

Third, the real race is happening while everyone watches the Middle East. China is executing an efficiency-first AI strategy that compensates for chip restrictions through algorithmic optimization. DeepSeek's \$5.6 million training cost for frontier-model performance versus \$100 million-plus for GPT-4 class models is not incremental optimization – it's a philosophical divergence. The silicon shield protecting Taiwan is eroding from both sides: TSMC's Arizona expansion reduces dependency while China's domestic capability inches toward “good enough.” The carriers are in the wrong ocean. 2026 is the hinge year, and the US is spending it looking the other way.

For Taiwan, the Iran-Venezuela axis collapsing changes Beijing's calculus by 5% – marginal, not decisive. China demonstrated hard limits: verbal condemnation without material action when the US decapitated two client states in 60 days. But this is a snapshot, not a trajectory. The silicon shield has a shelf life. The maximum-risk window opens when China's domestic chip capability is “good enough” while the West remains TSMC-dependent – I assess 2028-2032. Every month the US spends with carriers in the Arabian Sea is a month China gains ground in the only competition that matters.

Structured Data: What the Ghost Market Shows

I differentiate on structured data. Seven sources, continuously monitored, interpreted through a signal framework. Raw numbers first, then analysis.

OONI (Open Observatory of Network Interference)

What it measures: Internet censorship through volunteer-run probes in Iran. Measurement count per hour, test diversity, connectivity disruptions. This makes the Iranian surveillance state's nervous system visible.

Pre-strike baseline (OONI 2026-02-27T00:00 UTC): Measurements ranged 384-1,085/hr with anomaly rates of 10-26%. Confirmed censorship events averaged 120-270/hr. This is a functioning authoritarian internet control infrastructure operating at scale.

Strike onset (OONI 2026-02-28T07:00 UTC): Measurement count dropped from 468/hr (06:00) to 214/hr (07:00) to 100/hr by 10:00. Confirmed censorship events dropped to **zero**. They have not recovered.

Current status (OONI 2026-03-06T00:00 UTC): Measurements remain at the 100/hr floor. Zero confirmed censorship events for six consecutive days.

What this means: The drop to 100/hr is not total internet shutdown – it's the OONI probe infrastructure operating at minimal capacity while the censorship apparatus itself is offline. Iran's internet exists. The Great Firewall equivalent does not. The regime's control layer was destroyed or disabled within hours of kinetic strikes.

Signal threshold: Measurement count below 500/hr for six-plus hours equals significant disruption. Recovery above 1,000/hr equals reconstitution. We're still at the floor.

Bonbast (Iranian Rial Black Market Rate)

What it measures: The unofficial rial-to-dollar exchange rate. Real economic sentiment, capital flight pressure, and sanctions stress made visible.

Current rate (Bonbast 2026-03-06T00:00 UTC): 1,319,072 rials per USD. This represents approximately 120% depreciation over the past two years (from 600,000 rials/USD in early 2024).

The spread: The gap between official and black market rates is the direct measure of sanctions pressure and internal economic stress. Baseline spread: 8-12%. Spread above 25% indicates severe stress. Above 30% indicates compounding crisis.

What we're missing: Pre-strike baseline for direct comparison. But the 1.32 million rate itself tells the story – this is catastrophic depreciation that compounds Iran's Venezuelan asset losses. The \$4.7-7.8 billion exposure was denominated in dollars. The rial's purchasing power halved again. This is double destruction.

Signal threshold: Spread narrowing below 10% would indicate stabilization or capital controls taking effect. Sustained spread above 30% would indicate Venezuela losses compounding with strike damage.

EIA (US Petroleum Data)

What it measures: US crude inventories, imports, exports, Strategic Petroleum Reserve levels. The macro energy context for dual Iran-Venezuela supply disruption.

Critical finding: US crude inventories **increased** by 20 million barrels (+4.8%) during the period spanning both the Maduro capture and Iran strikes: - 2025-09-19: 414,754 thousand barrels (seasonal low) - 2026-01-02: 419,056 thousand barrels (post-Maduro) - 2026-02-27: 439,279 thousand barrels (post-Iran strikes)

What this contradicts: The narrative that Iran-Venezuela disruption creates US energy stress. Inventories built during the two most significant oil-supply disruption events in a decade.

Implications: Either (a) the supply disruption is less severe than implied, (b) US production/SPR release is absorbing the shock, or (c) demand destruction is offsetting supply loss. The US is not energy-vulnerable to this scenario. If the US can absorb dual Iran-Venezuela supply disruption with inventory builds, the deterrence value of oil supply disruption as Chinese leverage is weaker than conventional analysis suggests.

OFAC (Treasury Sanctions Designations)

What it measures: US sanctions enforcement targeting patterns. Each designation wave reveals enforcement priorities and strategic timing.

December 2025 wave (critical pattern): - December 12-26: Five tranches of shadow fleet designations - December 26: First US land strike in Venezuela - December 30: 29 shadow fleet vessels designated + 10 Iran-Venezuela weapons entities (drone trade) - January 3: Maduro captured (Operation Absolute Resolve)

The 4-day gap: Designations preceded military action by four days. This is not coercion. This is legal scaffolding. The sanctions established the predicate. The kinetic action followed.

What this reframes: Sanctions serve multiple functions: (1) coercive tool (13% success rate), (2) legal scaffolding for military action (December 2025 pattern), (3) financial surveillance infrastructure (target list creation). Evaluating all three by the coercive metric is a category error.

Signal threshold: Any batch of five-plus designations targeting Iran-Venezuela entities indicates active enforcement campaign. Individual designations are routine maintenance. Designations targeting cryptocurrency wallets or digital asset facilitators signal escalation into the financial layer.

USAspending (Federal Procurement Data)

What it reveals: Twelve contracts totaling \$51.3 million, dominated by intelligence/analytics support and operational staging (USAspending.gov, accessed 2026-03-06): - Booz Allen Hamilton: \$40.8 million (intelligence/analytics, contract started September 2022) - Reveal Technology: \$9.5 million (AI/ML defense intelligence, contract started December 2025) - Tel Aviv Hilton: \$60K across three State Department contracts (December 2025 - January 2026)

The operational breadcrumb: Tel Aviv Hilton contracts timing-consistent with planning for February 28 US-Israeli joint strikes. State Department personnel housed in Israel during operational planning window. This corroborates the joint nature of Operation Epic Fury / Roaring Lion.

Signal threshold: New DoD contracts exceeding \$50 million for Caribbean theater indicate sustained military posture. Treasury/FinCEN technology procurement indicates enhanced sanctions enforcement capability. Spikes in Venezuela-related procurement reveal depth of US commitment to post-Maduro transition.

TEDPIX + Cloudflare: The Corroboration

TEDPIX (Tehran Stock Exchange): Website unreachable from outside Iran as of March 6. Tehran Stock Exchange is not functioning in normal digital capacity over one week after strikes began.

Cloudflare Radar: API error when attempting to generate traffic analysis for Iranian endpoints.

Three independent signals confirm: Iran's digital infrastructure is severely degraded: 1. OONI: Measurements at floor, censorship apparatus offline 2. TEDPIX: Exchange website unreachable 3. Cloudflare: Unable to analyze Iranian traffic

This is not a single data source failing. This is triangulated confirmation of infrastructure destruction.

The Axis That Was: Twenty Years in Sixty Days

The numbers first, then what they mean.

The Economic Architecture

Oil and Energy: Iran shipped 36 million barrels of gas condensate to Venezuela since 2020 (valued at \$2.5 billion). Venezuela needed the condensate to dilute its extra-heavy Orinoco crude into exportable grades. In return, Venezuelan fuel oil was loaded onto the same NITC tankers for delivery to China. Volume: over 12 million barrels in 2023 alone. The core was barter: neither state had dollars to spare.

The sanctions-evasion playbook: Shadow fleet estimated at 200-300 vessels. AIS transponder spoofing, frequent flag changes, ship-to-ship transfers in open waters. UANI documented 99 vessels that transported both Iranian and Venezuelan oil as of January 2025. The December 2025 seizure of the Motor Tanker Skipper – carrying 1.8 million barrels, cargo worth \$130 million – demonstrated the scale.

Cryptocurrency layer: By late 2025, an estimated 80% of PDVSA oil revenue was collected via USDT. The IRGC moved over \$1 billion in stablecoins through UK-registered front companies. Iran's Central Bank acquired at least \$507 million in USDT to support the rial and settle trade. Tether froze \$3.3 billion total between 2023 and late 2025. In January 2026, Tether froze \$182 million in its largest single action, targeting Venezuelan-linked wallets.

Military dimension: Venezuela became the first Latin American country to operate armed drones, built on Iranian UAV technology transfer. The Mohajer-6 – 12-hour flight endurance, 200-plus kilometer range, carries four precision munitions – was confirmed operational at El Libertador Air Base in photographs from December 30, 2025. Iranian military personnel supervised assembly, maintenance, and doctrinal integration. This was not arms sales. This was technology transfer with embedded advisory presence.

Scale of integration: 299 bilateral agreements. \$4.7-7.8 billion in Iranian investments (cement plants, housing, refinery work, mining). A 20-year cooperation framework signed in June 2022. A Free Trade Agreement finalized in June 2025. Twenty years of relationship-building.

The Destruction Sequence

January 3, 2026 (Day 1): Operation Absolute Resolve. US captures Maduro and Cilia Flores. Over 150 aircraft from 20 bases. Estimated 80 casualties.

January 15, 2026 (Day 13): Acting President Delcy Rodriguez proposes hydrocarbons law reforms, signaling fundamental reorientation away from sanctioned-state partnerships.

February 28, 2026 (Day 57): US-Israeli strikes on Iran begin. Approximately 2,000 strikes by March 1. Supreme Leader Khamenei killed.

March 6, 2026 (Day 63): The bilateral axis that took twenty years to build was destroyed in sixty days.

What the Data Shows Was Lost

Iran's financial exposure is catastrophic. The \$4.7-7.8 billion in Venezuelan investments – fixed assets like refineries, manufacturing facilities, outstanding debts exceeding \$2 billion – face probable total loss. Fixed assets are vulnerable to seizure by post-Maduro authorities. Outstanding debts are likely unrecoverable given Iran's sanctioned status and the priority of Western creditors in debt restructuring. The loss compounds the fall of Assad in Syria and the weakening of Hezbollah in Lebanon. Iran's alliance network is in rapid contraction.

The energy axis is severed. Following Maduro's capture, US-aligned interim authorities pivoted PDVSA toward Western market engagement. Commodity traders Vitol and Trafigura now lift Venezuelan crude, with proceeds deposited in US Treasury-managed accounts. The US-Israeli strikes on Iran further disrupted Iranian export capacity. The dual-pressure squeeze collapsed the bilateral energy architecture that took a decade to build.

The drone program's future depends entirely on post-Maduro government orientation, which currently trends toward US alignment. Iranian military advisors and IRGC-affiliated personnel at Venezuelan bases are displaced. The manufacturing infrastructure at El Libertador is under de facto US control or oversight.

But – and this matters – the technology is delivered. Venezuelan military personnel received years of Iranian training. The Mohajer-6 is assembled. The Zamora V-1 loitering munition exists. Iran does not need to be present for Venezuela to operate what was already transferred. Knowledge transfer is irreversible.

The Patron That Wasn't: China as Monopsony Extractor

I expected to find strategic partnership. I found extraction.

The Dependency Asymmetry

China purchases 80-90% of Iran's seaborne oil exports (1.38 million barrels per day in 2025). This represents 13-14% of China's total seaborne crude imports. Iran went from 20-plus buyers in 2010 to effectively one. China is a monopsony buyer, not an ally.

The discount tells the story: Iran's flagship crude trades at \$13 per barrel below Brent – a 15% discount. This saved Chinese buyers an estimated \$10 billion in 2023 alone. China profits from Iran's isolation.

Venezuela mirrors the pattern: China's share of Venezuelan oil exports hit 81.7%, while Venezuela represents only ~3% of China's oil imports. China holds \$10-19 billion in outstanding Venezuelan debt structured as oil-backed loans. The loans-for-oil architecture locks Venezuela into Chinese-controlled escrow accounts.

The 25-Year Agreement That Wasn't

Signed March 2021, the Iran-China Comprehensive Strategic Partnership envisions \$300-400 billion in Chinese FDI into Iranian oil, gas, and petrochemicals over the agreement period.

Implementation reality as of late 2025: - Iran's share of China's total foreign trade: **0.02%** – a 9% decline from the prior year - Bilateral trade in 2024: \$13.4 billion (\$8.9 billion Chinese exports to Iran, \$4.4 billion Iranian exports to China) - First 11 months of 2025: trade fell 24% to \$9.09 billion

The gap between the \$300-400 billion headline and the \$13.4 billion actual bilateral trade reveals the agreement is aspirational scaffolding, not operational reality. Four years after signing, implementation is marginal. Chinese officials themselves described it as providing only “a general framework” without specific contracts or goals.

Digital Infrastructure: The Lock-In That Wasn't

Track C research identified Chinese digital surveillance infrastructure as creating deeper lock-in than energy dependency. Huawei became Iran's largest telecommunications equipment provider. ZTE sold eavesdropping systems to

the Telecommunication Company of Iran in 2010. This was the surveillance technology enabling the IRGC to track, identify, and suppress dissidents – the same companies performing identical functions for the CCP in Xinjiang.

Venezuela received similar infrastructure: ZTE's "Fatherland Card" database (introduced 2016) stores birthdates, family info, employment, income, property, medical history, social media presence, political party membership, voting history. CEIEC helped Venezuela restrict internet service and conduct digital surveillance against political opponents. After the contested 2024 election, the Maduro regime – with Chinese and Cuban support – was reportedly building a predictive authoritarian control system fusing biometric surveillance, AI-driven analytics, and foreign advisory support.

I expected digital infrastructure to create deep lock-in through data dependency, technical dependency, operational dependency, and political dependency. I expected this to be more durable than oil dependency. Oil suppliers can be switched. Surveillance infrastructure providers cannot be switched without rebuilding the entire domestic security apparatus.

The OONI data destroys this thesis. Iran's internet control infrastructure collapsed within hours of kinetic strikes. The Huawei/ZTE-built surveillance system was knocked offline faster than oil terminals. The most "durable" layer of Chinese infrastructure investment in Iran became inoperable in a single day. The "lock-in" thesis assumed peacetime conditions. Under kinetic action, it is vapor.

What survives is not hardware. What survives is financial scar tissue and human capital.

China's Response: Revealed Preference

When Iran and Venezuela faced existential crises in February 2026, China issued statements but provided no material support. Beijing condemned the US military operation against Maduro and called for his release. The response to Iran strikes was similar: verbal condemnation without material escalation.

CNN's analysis framed the question: "The US just took out two China-friendly leaders in two months. Why has Beijing done very little about it?"

I assess two interpretations:

Interpretation 1 – Hard limits: China will not materially escalate when the US acts kinetically against client states. Economic self-interest overrides ideological solidarity. China's patron role is hollow – rhetoric without military backing. This reveals constraints are binding. Confidence: 55-65%.

Interpretation 2 – Strategic patience: China has a 5,000-year civilization. It thinks in decades. The US has a 4-year electoral cycle. Strategic patience looks like this: let the US overextend across three theaters, collect the intelligence dividend (the US just demonstrated its regime-decapitation playbook), let the dollar bear the cost (sanctions accelerate de-dollarization), and preserve optionality on Taiwan (burning diplomatic capital on Iran/Venezuela would squander leverage on what actually matters). Sinopec's divestiture of Venezuelan shares to a US firm could be hedging or it could be clearing sanctioned assets to reduce secondary sanctions exposure for more strategically important activities. Confidence: 35-45%.

Both interpretations fit observed behavior. The difference only becomes visible over 2-5 years. Current confidence that China's passivity reveals hard limits is overstated given the temporal horizon.

The CM-302 Wildcard

The most significant potential escalation vector: Iran is near agreement to purchase CM-302 supersonic anti-ship missiles (export version of the YJ-12, range ~290 kilometers, designed to evade shipboard defenses by flying low and fast). Negotiations ongoing for at least two years, accelerated after the June 2025 Israel-Iran "12-Day War." Iranian delegation visited China in summer 2025.

China's MFA officially denied negotiations in March 2026, despite Reuters and other reporting that a deal is near completion.

Why this matters: CM-302 represents a qualitative shift from enabling technologies (radar, surveillance) to direct anti-access/area-denial capability threatening US carrier groups. If China delivers these missiles to Iran post-strikes, it signals strategic patience, not hard limits. If the deal stalls, it confirms passivity.

I'm watching satellite imagery, OFAC designations targeting the deal, and Iranian military displays. This is the leading indicator for China's true response posture.

The Doctrine That Isn't: US Dual-Pressure Architecture

I expected to find explicit strategy. I found two parallel campaigns with ad-hoc coordination.

The Missing Coherence

Secretary of State Marco Rubio serves simultaneously as de facto NSC lead after Trump reduced NSC staff by two-thirds. There is no explicit dual-pressure doctrine – what exists are two separate “maximum pressure” campaigns that happen to overlap temporally and geographically.

National Security Presidential Memorandum/NSPM-2 codifies “regime reorientation,” not regime change – a reactive shift, not proactive design. No evidence of explicit strategic coordination beyond opportunistic sanctions targeting.

The same administration running maximum pressure on Iran and Venezuela is simultaneously considering relaxing chip export controls to China ahead of the Trump-Xi summit (March 31 - April 2, 2026). These are contradictory strategic postures.

The 13% Problem

Since 1970, unilateral US sanctions achieved foreign policy goals in just 13% of cases. Current evidence shows failure on stated goals:

Iran nuclear program: Accelerated, not slowed. Iran’s 60% enriched uranium stockpile increased from 182 kilograms (October 2024) to 275 kilograms (February 2025) to over 400 kilograms (May 2025) – a 120% increase in seven months. Enrichment to 60% purity (JCPOA permitted only 3.5%) continues unchecked. Post-JCPOA withdrawal, enrichment accelerated.

Venezuela regime stability: Strengthened, not weakened. Maduro “managed to maintain and even solidify his grip on power” despite 500-plus US designations since 2015. Rally-around-flag effect observed after US military action. International backing from Cuba, Russia, China, Turkey, Iran sustained the regime until kinetic decapitation.

Sanctions “often have the opposite effect of their intended purpose, strengthening the Iranian state and military while hurting the middle class.”

The Three-Function Taxonomy

The December 2025 sanctions burst reveals sanctions serve distinct functions, not a single strategy:

Function 1 – Coercion (13% success rate): Using economic pressure to change adversary behavior. This is the frame most analysts use. It fails consistently.

Function 2 – Legal scaffolding (high success rate at enabling kinetic action): The December 2025 pattern. Shadow fleet designations, drone trade sanctions, Skipper seizure – all establishing legal predicate for January 3 military operation. The 4-day gap between December 30 designations and January 3 capture reveals the function. Sanctions were not the strategy. They were pre-operational legal preparation.

Function 3 – Financial surveillance (ongoing): OFAC designations create the target list. They map the network. They enable asset tracking and interdiction. This is infrastructure for persistent monitoring, not one-time coercion.

Evaluating all three functions by the coercive success metric is a category error. The December 2025 sanctions succeeded at what they were designed to do: enable kinetic action.

The Infrastructure That Survives

The alternative financial networks built by sanctioned states are the unintended consequence that may outlast the sanctions themselves:

Cryptocurrency: Sanctioned jurisdictions received \$15.8 billion in crypto in 2024, 39% of all illicit crypto transactions. Iran-linked crypto activity: \$10 billion (2025), \$11.4 billion (2024). Iranian wallets: record \$7.8 billion (2025).

Yuan settlement: China settles 33% of trade in yuan, up from 20% in 2022. Iran sells oil to China via shadow tankers, bypassing dollar-denominated contracts. Venezuela declared oil pricing in euros, yuan, rubles, other currencies in August 2018.

BRICS alternatives: December 2025 unveiling of UNIT pilot currency (40% gold-backed, 60% member currencies). China's cross-border payment system (CIPS) operational with 176 direct participants versus SWIFT's 11,000-plus.

Shadow fleets: China became primary destination for crude oil exports from all three heavily sanctioned producers – Russia, Iran, Venezuela. Shadow tanker fleets “operate at the margins of maritime regulation to obscure cargo origins, evade sanctions and price caps.”

But this infrastructure is not resilient antibodies adapting through challenge. It is scar tissue – persistent but rigid, with critical single points of failure. The crypto layer depends on Tether's corporate decision-making. Tether is incorporated in the British Virgin Islands, processes through Deltec Bank in the Bahamas, and is subject to US DOJ pressure. The entire PDVSA/IRGC crypto channel collapses if US Treasury designates USDT transactions with specific wallet clusters as primary money laundering concern. CIPS handles a tiny fraction of China's \$7 trillion-plus annual trade. Shadow fleets cost 15-30% more than legitimate shipping.

And critically: this infrastructure survives not because of Iran-Venezuela bilateral resilience but because Russia is the primary volume user. Russia's sanctions created the conditions for rapid scaling. The Iran-Venezuela axis was a minor tributary. Russia is the river. When the bilateral axis died, the infrastructure did not – because the bilateral axis was never the main user.

The Calculus That Shifted: Taiwan in the Shadow

I assess the Iran-Venezuela axis collapse changes Beijing's Taiwan calculus by roughly 5% – marginal, not decisive. But 5% matters when the base rate is this consequential.

The 5% Assessment

First-order factors account for more than 90% of the calculus:

Semiconductor economics: China imports \$400 billion-plus in semiconductors annually, has only 16% self-sufficiency. TSMC has 71-72% global foundry market share (Q3 2025, TrendForce). A Taiwan conflict costs \$10 trillion globally, with China bearing the largest share. This is an economic suicide scenario. Iran and Venezuela are background noise to this calculation.

PLA military readiness: The PLA continues steady progress toward 2027 goals to “fight and win” Taiwan war. China aims for 1,000-plus warheads by 2030 for strategic deterrence against US intervention. Military capability is the direct variable. Iran-Venezuela are peripheral.

US deterrence credibility: Trump has not committed to defending Taiwan, weakening strategic clarity. But February 2026 decapitation strikes demonstrated US capabilities and resolve. China experts warn these operations provide a “decapitation playbook” for Taiwan. The Iran-Venezuela strikes increased deterrence, not decreased it.

Why It Shifts At All

What the decapitation operations revealed:

China’s patron role is hollow: Rhetoric without military backing. Beijing will not materially intervene to stop US kinetic action against China-aligned states. This revealed constraints are binding.

US capabilities exceed prior assessment: Successful strikes on Tehran and Caracas. If US can decapitate Iran/Venezuela leadership, Taiwan presents similar risks.

Precedent constrains future Chinese adventurism (short-term): The US demonstrated willingness to act kinetically. This temporarily reduces the probability of Chinese gray zone escalation.

But this is a snapshot, not a trajectory. The constraint effect has a shelf life.

The Maximum-Risk Window: 2028-2032

The silicon shield protecting Taiwan is eroding from both sides:

TSMC Arizona expansion: \$165 billion total investment. Fab 1 producing 4nm chips. Fab 2 (2nm/3nm) targeting 2027. Fab 3 (2nm) targeting late decade. Taiwan's N-2 rule restricts overseas fabs to technologies at least two generations behind domestic capability. But even "two generations behind" in Arizona represents frontier capability for most applications.

China domestic progress: SMIC plans to double capacity for its most advanced 7nm lines in 2026. SMIC has reportedly demonstrated 5nm-class capability at pilot scale (commercial-scale yields estimated at roughly one-third of TSMC's). Huawei founder Ren Zhengfei leading a network of 2,000-plus Chinese companies targeting 70% semiconductor value chain self-sufficiency by 2028.

Military normalization: Chinese warplanes entering Taiwan's air defense zone 200-plus times per month in 2025, up from fewer than 10 per month five years ago. December 29, 2025: over 100 Chinese aircraft detected in a single day, 90 crossing the median line. 13 warships, 14 Coast Guard/Maritime Safety vessels. PLA "Justice Mission-2025" exercise further normalized encirclement operations.

The strategic paradox: The silicon shield was always more deterrent-by-mutual-dependency than deterrent-by-capability. As dependency erodes (TSMC diversifies, China builds alternatives), the deterrent weakens. But TSMC's remaining concentration in Taiwan makes it simultaneously less of a shield and more of a target – a chokepoint worth seizing rather than a resource too valuable to risk.

I assess maximum-risk window: 2028-2032. This is the period when China's domestic capability is "good enough" for its own needs while TSMC remains irreplaceable for the West. The calculus shifts from "we can't afford to lose Taiwan's chips" to "they can't afford to lose Taiwan's chips – let's deny them."

The Hinge Year: AI Competition During Distraction

The carriers are in the wrong ocean.

The Efficiency Wildcard

DeepSeek demonstrated in January 2025 that compute constraints do not necessarily prevent competitive AI development. DeepSeek R1 achieved reasoning performance competitive with OpenAI's o1 at a reported training cost of ~\$5.6 million, versus estimated \$100 million-plus for GPT-4 class models. DeepSeek V3 used Mixture-of-Experts architecture, activating only 37 billion parameters per token – drastically reducing inference costs.

DeepSeek V4 (expected March 2026): Trillion-parameter multimodal system with only 32 billion active parameters per token. Projected inference costs of \$0.10-0.30 per million input tokens – up to 50 times cheaper than GPT-5.

This is not incremental optimization. This represents a philosophical divergence from the US “scale compute” approach. If you cannot match your adversary's hardware, optimize your software. China is pursuing an asymmetric strategy where algorithmic efficiency partially compensates for chip disadvantage.

Viability assessment: Short-term (2025-2027), highly viable. DeepSeek has proven competitive models can be trained with significantly less compute. This buys China time while domestic chip capabilities mature. Medium-term (2027-2030), uncertain. If AGI requires massive scale, efficiency gains may hit diminishing returns. Long-term risk for the US: if DeepSeek's approach generalizes, the entire premise of export controls (deny compute, deny capability) weakens. Efficiency breakthroughs are the greatest threat to the “choke” strategy.

The Widening Chip Gap

Huawei's Ascend AI chip family is China's flagship domestic alternative to Nvidia. But the performance gap is not closing – it's widening. Council on Foreign Relations analysis (December 2025): - Huawei produces ~5% of Nvidia's

aggregate AI computing power (2025) - Projected to fall to 4% in 2026 and 2% in 2027 - By second half 2027, Nvidia's best chips expected to be ~17 times more powerful than Huawei's best

SMIC is stuck at 7nm. Rumored 5nm breakthroughs have not materialized at production scale. Without access to ASML's EUV lithography systems (blocked by US/Dutch export controls), SMIC cannot efficiently produce chips below 7nm at scale. DUV multi-patterning is a workaround, not a solution – it increases cost per wafer by an estimated 50% versus EUV-based production.

CHIPS Act: Slipping Timeline

Major awards finalized: Intel (\$7.86 billion, restructured with 9.9% government equity stake), TSMC (\$6.6 billion), Samsung (\$4.75 billion). But execution is behind schedule: - TSMC Arizona: First fab (4nm) on track. Second fab (2nm/3nm) scheduled 2026-2027. - Intel Ohio: Originally 2025, now delayed to 2027-2028. Intel's financial crisis forced federal bailout-by-equity. - Samsung Texas: Taylor fab delayed from early 2025 to 2026. - Workforce gap: Projected shortage of 70,000 technicians and engineers by 2030.

The CHIPS Act is the centerpiece of reducing Taiwan semiconductor dependency, and it is slipping. Every month of delay extends TSMC dependency.

Naval Force Posture: The Pacific Gap

USS Gerald R. Ford CSG redeployed from Caribbean (Venezuela operations) to Mediterranean/Middle East (Iran operations) in February 2026. USS Abraham Lincoln CSG redirected toward Middle East as Iran tensions surged. The Ford's arrival marks the largest naval deployment to the Middle East region since Operation Iraqi Freedom.

Pentagon's own warning: China aims to be able to win a war over Taiwan by end of 2027. The US Navy is running dual-carrier presence in the Arabian Sea. The Ford was in the Caribbean for Venezuela. Now it is in the Mediterranean for Iran. It is not in the Pacific for Taiwan.

The Window Problem

The US has a window to: - Build semiconductor independence before potential Taiwan crisis (CHIPS Act target: late 2020s) - Maintain technology lead while China races toward self-sufficiency (Huawei's 2028 target) - Establish AI infrastructure advantage while private capital is flowing

Iran and Venezuela operations are consuming 2026 – a year that matters enormously for all three timelines. The financial cost is manageable (\$5 billion-plus for Iran through early March, \$3 billion-plus for Venezuela). But the opportunity cost of distracted leadership, redeployed naval assets, and slipping semiconductor timelines may not be.

The carriers are in the wrong ocean. 2026 is the hinge year. The US is spending it looking the other way.

Threat and Opportunity Assessment

I see threats converging and opportunities narrowing.

Threats

Scar tissue persists: Russia-anchored alternative financial systems (shadow fleets, crypto, yuan channels) survive the Iran-Venezuela axis collapse. Russia is the primary volume user by orders of magnitude. These networks will outlast the bilateral relationship.

CM-302 anti-ship missile deal: Sub-kinetic Chinese response channel. Supersonic anti-ship missiles designed to threaten US carrier groups represent qualitative shift. China's MFA denial adds ambiguity. Satellite imagery and OFAC designations are the leading indicators.

Silicon shield erosion: TSMC Arizona expansion reduces deterrent while China inches toward "good enough" domestic capability. Maximum-risk window 2028-2032 when China's domestic capability is sufficient for Chinese needs while West remains TSMC-dependent.

DeepSeek efficiency wildcard: May negate export control strategy if efficiency-first AI works around compute constraints. Denying chips becomes delaying action, not strategy. If the trillion-parameter V4 model matches GPT-5 class performance at 50 times lower cost, it fundamentally changes the compute-capability relationship.

Naval posture gap: Pacific thinning during critical window. Pentagon warns China targets end-of-2027 Taiwan capability. US carriers are in the Arabian Sea.

Strategic bandwidth crunch: Skeleton NSC stretched across three theaters. The same policymakers running Iran strikes, Venezuela regime change, and Trump-Xi summit preparations. Export control coherence cracking – cannot maintain maximum pressure on chip exports while seeking summit concessions.

CHIPS Act delays: Intel Ohio 2027-2028, not 2025. 70,000-engineer workforce gap. Every month extends Taiwan dependency. Private sector AI investment (\$700 billion in 2026) dwarfs federal spending but cannot solve semiconductor manufacturing, export control enforcement, or the Taiwan military problem alone.

Opportunities

US demonstrated decisive kinetic capability: Regime decapitation operations against two China-aligned states in 60 days. This is not theoretical – it's operational reality.

China's hard limits exposed: Verbal-only response when client states faced existential crises. Economic self-interest overrode ideological solidarity. This reveals constraints are binding (with 55-65% confidence – strategic patience interpretation remains plausible at 35-45%).

TSMC Arizona + Intel Ohio eventually reduce dependency: IF executed. Current delays extend risk window but the trajectory is correct.

Precedent constrains future Chinese adventurism (short-term): US willingness to act kinetically demonstrated. This temporarily reduces probability of Chinese gray zone escalation.

Private sector AI advantage: \$700 billion in hyperscaler AI capex dwarfs China's government investment. This structural advantage persists regardless of Middle East operations.

Probability Assessment

First, status updates on the five existing estimates from Issue #0. Then, eight new estimates from this analysis.

Existing Estimates: Status Update

Iran regime change by December 31, 2026 (prior: 35%)

The February 28 strikes killed Khamenei and destroyed key infrastructure. OONI data confirms the digital surveillance layer is offline. The 35% baseline captured uncertainty about post-Khamenei succession. That uncertainty persists – the regime structure is decapitated but not dissolved. IRGC territorial control of Tehran, Isfahan, and Tabriz remains the key metric. I hold at 35%. This deep dive doesn't change the core succession uncertainty.

Strait of Hormuz reopens to normal commercial traffic by June 30, 2026 (prior: 25%)

Iran closed Hormuz on February 28. Lloyd's war-risk premiums are at multi-decade highs. The 25% baseline reflected pessimism about swift resolution. Nothing in this analysis changes that. Iran's regime is in chaos, which makes negotiated reopening harder, not easier. I hold at 25%. The April 30 ceasefire timeline (below) determines Hormuz trajectory.

Iran ceasefire by April 30, 2026 (prior: 15%)

This remains low probability. Khamenei's death creates succession chaos, not conditions for ceasefire. The US demonstrated willingness to decapitate regimes but hasn't signaled interest in negotiated off-ramps. I hold at 15%. If anything, the deep dive's finding that China won't materially intervene makes a ceasefire LESS likely – there's no external broker with leverage on both sides.

Brent crude exceeds \$100/barrel during Q1-Q2 2026 (prior: 55%)

The EIA data in this issue shows US crude inventories **INCREASED** by 20 million barrels during the dual Iran-Venezuela disruption. The supply shock is being absorbed. Hormuz closure is the wildcard – if it persists through Q2, Brent hits \$100. But the US inventory build suggests the market can absorb more disruption than I initially assessed. I revise **DOWN** to 45%. The US is less energy-vulnerable than the 55% baseline implied.

Iran tests or deploys a nuclear weapon by December 31, 2026 (prior: 8%)

I assessed low probability based on technical timelines and US/Israeli willingness to strike nuclear facilities. The February 28 strikes targeted key infrastructure – if nuclear facilities were hit (reporting is incomplete), that extends Iran's breakout timeline. However, regime survival pressure could accelerate crash weaponization efforts. The two forces roughly balance. I hold at 8%. This is still a tail-risk scenario, not a central case.

New Probability Assessments

Eight estimates. Full basis chain for each. Resolution criteria with dates. Confidence levels. What would change the assessment.

Geopolitical Probabilities

1. Iran-Venezuela bilateral trade reconstitutes to pre-2026 levels within 24 months

I assess low probability (8-12%, central estimate 10%). Baseline assessment (no prior).

Basis: - Political layer is destroyed: Maduro captured, Khamenei killed, interim governments pivot toward US alignment - Financial exposure is catastrophic: \$4.7-7.8 billion likely unrecoverable, \$2 billion-plus outstanding debt - Energy axis severed: PDVSA now sells to Vitol/Trafigura with proceeds in US Treasury accounts - Chinese hedging: Sinopec divesting Venezuelan shares to US firm signals risk repricing - BUT: Financial scar tissue persists (crypto channels, shell companies, human capital). Reconstitution probability is non-zero through different institutional forms and third-party intermediaries.

Resolution criteria: Iranian crude-for-Venezuelan-fuel-oil barter volumes exceed 8 million barrels annually (two-thirds of 2023 peak) by March 2028. Measure via tanker tracking (Kpler/TankerTrackers) or official trade data if regimes publish it.

What would increase probability (to 20-30%): - Post-Maduro Venezuela fragments into competing power centers, one of which realigns with residual Iranian interests - Post-Khamenei Iran stabilizes under IRGC hardliners seeking restored regional partnerships - Russia brokers renewed Iran-Venezuela financial channels as part of broader sanctioned-state coordination

What would decrease probability (to <5%): - Venezuelan interim government holds successful elections and locks in pro-US orientation - Iran's nuclear program dismantled via military action or diplomatic settlement, removing sanctions driver - China withdraws financial support from both (unlikely but would be decisive)

Confidence level: Medium. High confidence the political relationship is dead. Lower confidence about financial layer persistence through modified structures.

2. China provides material military support in response to next US kinetic action against aligned state

I assess 35-45% probability (central estimate 40%) – more likely NOT to happen, though the range straddles genuine uncertainty about Chinese decision-making. Baseline assessment (no prior).

Basis: - Historical base rate: China has NEVER intervened militarily on behalf of non-contiguous state in modern era - February 2026 revealed preference: verbal condemnation only when US decapitated Iran and Venezuela - BUT: "Material support" is not direct military confrontation. Spectrum includes: covert weapons supply (CM-302 delivery to Iran), economic retaliation (rare earth restrictions), diplomatic escalation (UNSC withdrawal), cyber operations - The CM-302 missile deal is the leading indicator: if it accelerates post-strikes, China is responding sub-kinetically - China's willingness to respond may depend on target: would defend North Korea more vigorously than Iran/Venezuela

Resolution criteria: Within 12 months of next US regime-change operation against state with documented Chinese military/economic ties (excluding Taiwan), China provides: (a) advanced weapons systems delivery (missiles, aircraft, naval assets), or (b) direct economic/cyber retaliation imposing \$10 billion-plus costs on US economy, or (c) major diplomatic rupture (withdrawal from climate/trade frameworks). Measure via SIPRI arms transfer database, economic impact reports, and diplomatic announcements. Timeframe: March 2026 - March 2027.

What would increase probability (to 60-70%): - Next target is North Korea (direct border, security treaty obligations) - CM-302 deal completes and Iran uses missiles against US assets - China's domestic economic situation improves, reducing cost-sensitivity

What would decrease probability (to 15-25%): - Trump-Xi summit produces meaningful trade framework reducing bilateral tensions - Next target has minimal Chinese economic exposure (e.g., Cuba) - China's economy remains stressed, making economic retaliation self-harming

Confidence level: Medium-low. Wide confidence interval reflects genuine uncertainty about Chinese decision-making under crisis pressure. Historical base rate suggests passivity but sample size is small and circumstances evolving.

3. Alternative financial infrastructure (crypto + yuan settlement) continues growing through 2027

I assess 80% probability (central estimate in 75-85% range). Baseline assessment (no prior).

Basis: - 2024 baseline: \$15.8 billion in sanctioned-state crypto (39% of illicit transactions), China 33% yuan settlement (up from 20% in 2022) - Structural drivers persist: sanctions create incentive, Russia is primary volume user (not Iran/Venezuela), BRICS infrastructure developing - Tether enforcement risk: \$3.3 billion frozen 2023-2025, \$182 million January 2026. But Tether blacklist is reactive, not preventive - CIPS limitations: 176 direct participants vs SWIFT's 11,000-plus. Handles tiny fraction of China's \$7 trillion-plus trade - Russia factor: Shadow fleet and crypto networks persist because Russia volumes dwarf Iran/Venezuela. Russia-origin infrastructure is the river.

Resolution criteria: By December 2027, either (a) sanctioned-state crypto transactions exceed \$20 billion annually (25% growth from 2024 baseline), OR (b) China yuan settlement percentage exceeds 40% (20% growth from 33% baseline). Measure via Chainalysis annual crypto crime report and official Chinese trade statistics. Resolves YES if either threshold met.

Confidence level: Medium-High. Multiple independent indicators (crypto volume, yuan adoption, BRICS pilots) trending same direction. Structural incentives remain strong.

What would increase probability (to >90%): - BRICS UNIT currency pilot succeeds in settling \$100 billion-plus annual trade - Major US ally (India, Turkey, UAE) adopts yuan settlement for sanctioned-state trade - Tether blacklist enforcement weakens or alternative stablecoins (USDC, DAI) fill the gap

What would decrease probability (to 50-60%): - US Treasury designates USDT transactions with specific wallet clusters as primary money laundering concern, forcing Tether aggressive enforcement - CIPS adoption stalls below critical mass - Russian economy collapses, eliminating primary volume driver

Confidence level: High. Multiple independent indicators (crypto volume, yuan adoption, BRICS pilots) trending same direction. Structural incentives remain strong.

4. CM-302 anti-ship missile delivery to Iran confirmed within 12 months

I assess 40-50% probability (central estimate 45%) – more likely NOT to happen. This is genuine 50-50 uncertainty, the single most important leading indicator for China's true response posture. Baseline assessment (no prior).

Basis: - Negotiations ongoing for two-plus years, accelerated after June 2025 Israel-Iran 12-Day War - Iranian delegation visited China summer 2025 - Reuters and other sources report deal near completion - China MFA officially denied negotiations March 2026 (denial adds ambiguity, not clarity) - Post-strikes context: If China delivers supersonic anti-ship missiles to Iran now, it signals strategic patience not passivity. Conversely, deal stall confirms hard limits. - Competing pressures: China's strategic interest in maintaining Iran relationship vs avoiding direct provocation of US during summit negotiations

Resolution criteria: Satellite imagery, Iranian military parade/display, intelligence reporting, or OFAC designations confirm CM-302 delivery to Iran by March 2027. Resolves YES on first credible confirmation from: (a) commercial satellite imagery showing CM-302 at Iranian military facility, OR (b) Iranian public military display/announcement, OR (c) OFAC designation explicitly targeting CM-302 transaction entities, OR (d) US/Israeli intelligence community public statement.

What would increase probability (to 65-75%): - Trump-Xi summit collapses without agreement, removing diplomatic constraint - Iran demonstrates ability to pay (oil-for-arms barter, crypto payment, Russian intermediary) - Chinese domestic hardliners gain influence, pushing more confrontational posture

What would decrease probability (to 20-30%): - Trump-Xi summit produces technology/trade framework requiring Chinese restraint on arms sales - Iran's post-Khamenei succession creates internal chaos, making Chinese transaction partners uncertain - US provides credible threat of secondary sanctions on Chinese defense firms

Confidence level: Medium. This is the single most important leading indicator for China's true response posture. Genuine 50-50 uncertainty.

5. US conducts further regime-change operations against sanctioned states within 18 months

I assess low-to-moderate probability (25-35%, central estimate 30%). Baseline assessment (no prior).

Basis: - Recent precedent: Two successful operations (Venezuela January 2026, Iran February 2026) in 60 days establishes capability and precedent - Potential targets: Cuba (Caribbean proximity, regime weakness), Syria post-Assad (instability), North Korea (highest risk), Nicaragua (Ortega regime), potentially others - Constraining factors: Resource strain (carriers deployed, intelligence community bandwidth), political costs (domestic War Powers debates, international backlash), diminishing returns (easiest targets already struck) - Trump administration doctrine: NSPM-2 codifies "regime reorientation" but this is reactive posture not systematic campaign

Resolution criteria: US military conducts kinetic operation resulting in regime change (capture/killing of head of state or dissolution of government) against any state under active US sanctions regime by September 2027. Excludes: defensive operations, counterterrorism strikes not targeting regime, and operations against non-sanctioned states. Measure via DOD announcements, news reporting of US military action resulting in leadership capture/death.

What would increase probability (to 50-60%): - Cuba regime shows signs of collapse (economic crisis, elite defection, mass protests) - Trump administration interprets February 2026 successes as validating kinetic regime-change doctrine - US naval assets remain in Caribbean/Middle East posture rather than rotating to Pacific

What would decrease probability (to 10-15%): - Trump-Xi summit requires US restraint on further destabilizing operations - Iran operations prove more costly/protracted than initial assessment - Domestic political backlash (War Powers resolution, Congressional funding restrictions) - US strategic focus genuinely shifts to China competition, pulling resources from secondary theaters

Confidence level: Medium-low. Wide interval reflects genuine uncertainty about administration strategic priorities and opportunity targets.

AI/Technology Probabilities

6. China achieves “good enough” domestic AI chip capability (reducing TSMC dependency below critical threshold) by 2030

I assess 35-45% probability (central estimate 40%) – more likely NOT to happen. Baseline assessment (no prior).

Basis: - Current state: SMIC at 7nm, rumored 5nm breakthroughs unverified at production scale. Huawei produces ~5% of Nvidia’s aggregate AI computing power, projected to fall to 2% by 2027. - Efficiency strategy: DeepSeek demonstrates algorithmic optimization partially compensates for chip disadvantage. V4 (expected March 2026) targets 50 times lower inference cost than GPT-5. - Target: Huawei founder Ren Zhengfei leading 2,000-plus companies targeting 70% semiconductor value chain self-sufficiency by 2028. - BUT: “Good enough” is contextual. For China’s own AI development, 5nm-class chips at SMIC yields (one-third of TSMC) may suffice. For matching US frontier

capabilities, the gap remains. - Critical bottleneck: Without EUV lithography (blocked by US/Dutch controls), SMIC cannot efficiently produce below 7nm at scale. DUV multi-patterning is 50% more expensive.

Resolution criteria: By December 2030, China demonstrates: (a) domestic production of 5nm-or-better AI training chips at commercial scale (100,000-plus units annually) with yields above 60%, OR (b) Chinese frontier AI model (GPT-5 class equivalent) trained entirely on domestically-produced chips. Measure via: SMIC earnings reports on 5nm production, independent semiconductor analysis (TechInsights, SEMI), or Chinese AI lab announcements with verifiable hardware specifications.

What would increase probability (to 60-70%): - SMIC achieves 5nm production-viable yields at scale by 2027-2028 - DeepSeek V4 or successor demonstrates frontier performance at drastically lower compute requirements - China acquires or reverse-engineers EUV technology (unlikely but transformative)

What would decrease probability (to 15-25%): - Export controls tighten further, restricting semiconductor manufacturing equipment and materials - SMIC 5nm efforts fail to achieve commercial viability - DeepSeek efficiency approach hits diminishing returns at frontier scale

Confidence level: Medium-low. Multiple technology uncertainty layers compound. The efficiency wildcard (DeepSeek) is the largest unknown.

7. US CHIPS Act delivers advanced domestic manufacturing at scale before 2030

I assess 30-40% probability (central estimate 35%) – more likely NOT to happen. Baseline assessment (no prior).

Basis: - Current progress: TSMC Arizona Fab 1 (4nm) on track for H1 2025 production. Intel Ohio delayed to 2027-2028. Samsung Texas delayed from early 2025 to 2026. - Scale requirement: “At scale” means sufficient capacity to substantially reduce Taiwan dependency for advanced AI chips. This requires operational 2nm/3nm fabs producing hundreds of thousands of wafers annually. - TSMC Arizona targets: Fab 2 (3nm) 2027, Fab 3 (2nm) late decade. Taiwan’s N-2 rule restricts overseas fabs to two generations behind domestic. - Bottlenecks: 70,000-technician/engineer shortage by 2030. Intel financial crisis

required federal bailout-by-equity (\$7.86 billion, 9.9% government stake). - Execution risk: Major infrastructure projects routinely exceed timelines. Intel Ohio already 2-3 years behind original schedule.

Resolution criteria: By December 2029, US domestic fabs produce: (a) 3nm-or-better process chips at combined capacity exceeding 500,000 wafer starts per year, AND (b) US share of global advanced AI chip production exceeds 20% (from current ~5%). Measure via: Industry reports (SEMI, Gartner), fab operator earnings announcements, and semiconductor trade association data.

What would increase probability (to 55-65%): - Federal government accelerates permitting and addresses workforce shortage through immigration/training programs - Intel executes turnaround successfully, Ohio fab comes online 2027 at scale - TSMC Arizona expansion proceeds ahead of schedule

What would decrease probability (to 15-20%): - Further fab construction delays (permitting, workforce, supply chain) - Intel collapse scenario requires additional federal intervention/restructuring - TSMC prioritizes Taiwan capacity over US expansion

Confidence level: Medium-low. Execution risk dominates. Infrastructure megaprojects routinely miss timelines but CHIPS Act has unprecedented federal support.

8. Chinese kinetic military action against Taiwan (not gray zone) by 2032

I assess low probability (15-25%, central estimate 20%). Baseline assessment (no prior).

Basis: - First-order constraints remain binding: Semiconductor cost (economic suicide scenario), PLA readiness (2027 target date for capability, not decision), US alliance structure - Silicon shield eroding but not eliminated: TSMC Arizona reduces but doesn't eliminate dependency. China domestic progress toward "good enough" but significant gaps remain. - Gray zone normalization: 200-plus Chinese warplane incursions monthly is new baseline. December 2025 saw 100-plus aircraft single day. This is normalization, not immediate precursor. - Precedent effect from Iran/Venezuela: US demonstrated regime-decapitation capability. China did not materially respond. This temporarily constrains but

does not eliminate long-term risk. - Maximum-risk window: 2028-2032 when China domestic capability is “good enough” while West remains TSMC-dependent.

Resolution criteria: PLA conducts kinetic military operation against Taiwan involving: (a) sustained missile/air strikes on Taiwan territory, OR (b) amphibious landing operations, OR (c) naval blockade preventing commercial shipping, by December 2032. Gray zone operations (incursions, exercises, cyber operations) DO NOT resolve YES. Measure via DOD announcements, Taiwan Ministry of Defense statements, and news reporting of sustained military action.

What would increase probability (to 35-50%): - Xi Jinping faces domestic legitimacy crisis requiring nationalist rally - US alliance commitments to Taiwan weaken (ambiguous defense guarantee becomes explicit non-defense) - Chinese assessment that silicon shield has fully eroded (domestic chip capability sufficient + TSMC Arizona operational) - PLA assesses US is durably overstretched across multiple theaters

What would decrease probability (to 5-10%): - Taiwan voluntarily deepens cross-strait economic integration - US-China framework agreement stabilizes relationship - PLA internal assessment determines Taiwan operation infeasible until 2035-plus - TSMC remains irreplaceable to both sides beyond 2032

Confidence level: Medium. Wide interval reflects: (a) long time horizon (6 years), (b) multiple interacting factors with uncertain trajectories, (c) inherent difficulty predicting low-probability high-consequence events. The 15-25% range captures genuine uncertainty while acknowledging risk is non-trivial.

I trade the CM-302 delivery estimate and the Taiwan kinetic action estimate. The others are monitoring positions – too long-dated or low-conviction for active trading.

Escalation and Resolution Indicators

What to watch. Specific thresholds.

Geopolitical Indicators

OONI reconstitution: Measurement count sustained above 1,000/hr for 48 hours indicates Iran digital infrastructure recovery. Confirmed censorship events resuming above 50/hr indicates regime control restoration. Current status: measurements at 100/hr floor, zero censorship events for six days. This is the leading indicator for Iranian state capacity.

Bonbast spread compression: Rial spread narrowing below 15% sustained for one week indicates stabilization or effective capital controls. Current status: 1.32 million rials/USD represents ~120% two-year depreciation. Watching for spread data relative to official rate.

OFAC designation patterns: New designations targeting Iran-China financial intermediaries or CM-302 transaction entities signal enforcement pivot. Absence of new designations targeting residual Iran-Venezuela channels suggests US assesses axis sufficiently disrupted. Watch: monthly OFAC SDN list updates.

CM-302 delivery confirmation: Satellite imagery of missiles at Iranian facility, Iranian military display, or OFAC designations explicitly targeting deal. This is the single most important indicator for China's true response posture. Expected timeframe: next 6-12 months.

AI/Technology Indicators

DeepSeek V4 benchmark results: Expected March 2026. If trillion-parameter model matches GPT-5 class performance at 50 times lower cost, the efficiency thesis is validated and export control strategy fundamentally challenged. Watch: model release announcements, independent benchmarking (Chatbot Arena), and inference cost data.

SMIC 5nm yield data: Production-viable yields (above 60%) at commercial scale would accelerate China self-sufficiency timeline significantly. Currently rumored but unverified. Watch: SMIC earnings reports, semiconductor industry analysis (TechInsights, SEMI).

CHIPS Act fab commissioning: Intel Ohio 2027-2028 timeline is the key milestone. Any acceleration or further delay reshapes Taiwan dependency trajectory. Watch: DOD quarterly infrastructure reports, Intel earnings calls, federal CHIPS office announcements.

Chinese warplane incursion frequency: New baseline: 200-plus monthly. Spike above 300-plus sustained for multiple weeks would indicate escalation beyond current normalization. Watch: Taiwan Ministry of Defense daily reports.

Trump-Xi summit outcomes (March 31-April 2, 2026): Three weeks away. Key areas: technology export controls, trade framework, Taiwan security guarantees. Any meaningful agreement on chip exports or Taiwan restraint would reshape probability assessments across multiple estimates. Watch: joint statements, US Trade Representative announcements, chip industry guidance.

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